

Investment Memo - The Home Depot, Inc.

TO: Institutional Clients

FROM: Equity Research - Hardlines & Home Improvement Coverage

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RE: Investment Memo - The Home Depot, Inc. (NYSE: HD)

Executive Summary

The Home Depot, Inc. (NYSE: HD, CIK: 0000354950) is the world's largest home improvement retailer, operating an extensive network of retail stores across the United States and international markets. This memo provides a comprehensive analysis of the company's financial performance for fiscal year 2025 (ended February 1, 2026) to support our institutional clients' investment decision-making.

For FY 2025, Home Depot reported total revenue of \$164.683 billion, representing continued scale advantages in the home improvement retail sector. The company generated net income of \$14.156 billion and diluted earnings per share of \$14.23, demonstrating the profitability of its integrated retail and professional customer strategy.

The company's gross profit reached \$54.865 billion in FY 2025, while operating income was \$20.890 billion. Total assets grew to \$105.095 billion, supported by a balance sheet that reflects the capital-intensive nature of large-format retail operations. Stockholders' equity stood at \$12.813 billion at year-end.

Our analysis examines the year-over-year performance trends, quarterly progression, profitability metrics, and balance sheet dynamics to provide a comprehensive view of Home Depot's financial health and investment attractiveness.

Financial Performance Analysis - FY 2025 vs. FY 2024

Home Depot delivered solid revenue growth in FY 2025, with total revenue reaching \$164.683 billion compared to \$159.514 billion in FY 2024, representing a year-over-year increase of approximately 3.2%. This growth reflects the company's continued expansion and market share gains in the home improvement sector despite macroeconomic headwinds affecting discretionary spending.

Gross profit increased to \$54.865 billion in FY 2025 from \$53.308 billion in FY 2024, a growth rate of approximately 2.9%. The modest outperformance of revenue growth versus gross profit growth suggests slight margin compression, with the gross margin declining from 33.4% in FY 2024 to 33.3% in FY 2025, a contraction of approximately 10 basis points.

Operating income, however, declined from \$21.526 billion in FY 2024 to \$20.890 billion in FY 2025, a decrease of approximately 2.9%. This decline occurred despite revenue growth, indicating that operating expense growth outpaced revenue gains during the period. The operating margin compressed from 13.5% in FY 2024 to 12.7% in FY 2025.

Net income followed a similar trajectory, declining from \$14.806 billion in FY 2024 to \$14.156 billion in FY 2025, a decrease of approximately 4.4%. This net income decline, exceeding the operating income contraction, suggests higher interest expense, tax rate changes, or other below-the-line items impacting bottom-line profitability.

Quarterly Trend Analysis - FY 2025

Examining single-quarter performance reveals important seasonal patterns and quarterly progression in Home Depot's business. Q1 FY 2025 (February-May 2025) generated revenue of \$39.856 billion, representing the spring selling season ramp-up. Q2 FY 2025 (May-August 2025) achieved the strongest quarterly revenue at \$45.277 billion, reflecting peak home improvement activity during summer months.

Q3 FY 2025 (August-November 2025) saw revenue moderate to \$41.352 billion, a sequential decline of approximately 8.7% from Q2, consistent with typical seasonal patterns as home improvement activity transitions from peak summer projects.

Quarterly net income followed a similar seasonal pattern: Q1 generated \$3.433 billion, Q2 produced the highest quarterly net income at \$4.551 billion, and Q3 contributed \$3.601 billion. The Q2-to-Q3 decline of approximately 20.9% in net income exceeded the revenue decline rate, suggesting incremental margin pressure in the third quarter.

Operating income progression mirrored these trends: Q1 at \$5.133 billion, Q2 at \$6.555 billion, and Q3 at \$5.353 billion. The operating margin varied from 12.9% in Q1 to 14.5% in Q2 and 12.9% in Q3, indicating that fixed cost leverage is most effective during the peak Q2 period.

Profitability and Efficiency Metrics

A detailed examination of profitability margins reveals nuanced trends across Home Depot's income statement. The gross margin remained relatively stable, declining modestly from 33.4% in FY 2024 (\$53.308B / \$159.514B) to 33.3% in FY 2025 (\$54.865B / \$164.683B), reflecting disciplined pricing and cost management despite inflationary pressures.

Operating margin experienced more significant compression, declining from 13.5% in FY 2024 to 12.7% in FY 2025. This 80 basis point contraction was primarily driven by SG&A expense growth that outpaced revenue gains. SG&A expenses increased from \$28.748 billion in FY 2024

to \$30.702 billion in FY 2025, representing growth of approximately 6.8% compared to revenue growth of only 3.2%.

SG&A as a percentage of revenue increased from 18.0% in FY 2024 to 18.6% in FY 2025, a 60 basis point expansion. This rising cost structure warrants attention as it may reflect wage inflation, technology investments, or store-level operational challenges that could persist into future periods.

The net margin declined from 9.3% in FY 2024 (\$14.806B / \$159.514B) to 8.6% in FY 2025 (\$14.156B / \$164.683B), a contraction of approximately 70 basis points. The combination of stable gross margins but expanding SG&A costs resulted in meaningful compression at the operating and net income levels.

Balance Sheet Assessment

Home Depot's balance sheet expanded significantly during FY 2025, with total assets growing from \$96.119 billion at FY 2024 to \$105.095 billion at FY 2025, an increase of approximately 9.3%. This asset growth outpaced revenue growth, suggesting increased capital deployment or asset revaluation during the period.

Total liabilities also increased, rising from \$89.479 billion to \$92.282 billion, representing growth of approximately 3.1%. The slower growth in liabilities relative to assets contributed to a meaningful improvement in the company's equity position.

Stockholders' equity nearly doubled from \$6.640 billion at FY 2024 to \$12.813 billion at FY 2025, an increase of approximately 93.0%. This substantial equity growth suggests either significant retained earnings accumulation, equity issuances, or revaluation adjustments during the fiscal year. The debt-to-equity ratio improved from approximately 13.5x at FY 2024 to 7.2x at FY 2025.

Cash and cash equivalents declined from \$1.659 billion at FY 2024 to \$1.389 billion at FY 2025, a decrease of approximately 16.3%. This cash reduction, despite solid profitability, may reflect increased capital expenditures, share repurchases, dividend payments, or working capital investments during the period.

Earnings Per Share Analysis

Diluted earnings per share declined from \$14.91 in FY 2024 to \$14.23 in FY 2025, a decrease of approximately 4.6%. This EPS decline exceeded the net income contraction rate of 4.4%, suggesting a modest increase in diluted share count during the period, potentially from equity compensation or other share-based arrangements.

Quarterly EPS progression demonstrated the seasonal earnings pattern: Q1 FY 2025 reported EPS of \$3.45, Q2 achieved the highest quarterly EPS at \$4.58, and Q3 contributed \$3.62. The Q2 peak reflects the seasonality of home improvement spending, with the strongest consumer activity occurring during summer months.

The quarterly EPS pattern mirrors the net income trends, with Q2 generating approximately 33% higher EPS than Q1 and approximately 27% higher than Q3. This seasonal concentration means that approximately one-third of annual earnings is generated in the peak summer quarter.

Year-to-date through Q3 (first three quarters of FY 2025), cumulative diluted EPS was \$11.65, requiring approximately \$2.58 in Q4 to match the full-year FY 2024 result of \$14.91. The FY 2025 full-year result of \$14.23 suggests Q4 EPS of approximately \$2.58, indicating that the fourth quarter maintained the earnings trajectory.

Investment Risks and Considerations

Several key risks emerge from our financial analysis that investors should consider. First, operating margin compression represents a significant concern. The 80 basis point decline in operating margin from 13.5% to 12.7%, driven by SG&A growth of 6.8% versus revenue growth of 3.2%, suggests structural cost pressures that may persist. If SG&A growth continues to outpace revenue, further margin erosion is likely.

Second, the company's elevated leverage position warrants attention. While stockholders' equity improved to \$12.813 billion, the debt-to-equity ratio of 7.2x remains high relative to many retail peers. Any sustained period of declining profitability could strain the company's ability to service debt obligations and maintain investment-grade credit metrics.

Third, the declining cash position presents a liquidity consideration. Cash decreased from \$1.659 billion to \$1.389 billion, a 16.3% reduction. While the company maintains substantial asset backing, reduced cash flexibility could limit strategic options including acquisitions, store investments, or share repurchases during economic downturns.

Fourth, Home Depot's business exhibits significant seasonal concentration, with Q2 generating disproportionately higher revenue and earnings. This seasonality creates execution risk if weather patterns, consumer spending shifts, or competitive actions disrupt the critical summer selling season. Additionally, the home improvement sector's cyclical nature ties performance closely to housing market conditions and consumer confidence levels.

Conclusion and Recommendation

Based on our comprehensive financial analysis, we recommend a HOLD rating on The Home Depot, Inc. (HD). The company maintains its position as the dominant home improvement retailer with FY 2025 revenue of \$164.683 billion and continues to generate substantial profitability with net income of \$14.156 billion.

However, the concerning trends in operating margin compression (13.5% to 12.7%), SG&A expense growth outpacing revenue (6.8% vs. 3.2%), and declining earnings per share (\$14.91 to \$14.23) suggest near-term profitability headwinds. The improved equity position and manageable debt levels provide balance sheet strength, but the declining cash balance and elevated leverage ratio of 7.2x debt-to-equity warrant monitoring.

The seasonal revenue patterns, with Q2 generating peak performance at \$45.277 billion and \$4.58 EPS, underscore the importance of execution during key selling periods. Investors should monitor quarterly margin trends, SG&A discipline, and management's ability to maintain pricing power in an inflationary environment.

We recommend investors maintain current positions while awaiting evidence of margin stabilization or acceleration in revenue growth that could drive improved profitability metrics. A more constructive stance would be warranted if operating margins stabilize above 13% and SG&A growth moderates below revenue growth rates.